

UNIT 3: ACCOUNTING STANDARD 13

ACCOUNTING FOR INVESTMENTS

LEARNING OUTCOMES

After studying this unit, you will be able to comprehend–

- ◆ What are the various Forms of Investments
- ◆ Classification of Investments
- ◆ How to compute the Cost of Investments
 - Current Investments
 - Long-term Investments
 - Investment Properties
- ◆ Disposal of Investments
- ◆ Reclassification of Investments
- ◆ Disclosure Requirements as per the standard.



3.1 INTRODUCTION

The standard deals with accounting for investments in the financial statements of enterprises and related disclosure requirements.

Shares, debentures and other securities held as stock-in-trade (i.e., for sale in the ordinary course of business) are not 'investments' as defined in this Standard. However, the manner in which they are accounted for and disclosed in the financial statements is quite similar to that applicable in respect of current investments. Accordingly, the provisions of this Standard, to the extent that they relate to current investments, are also applicable to shares, debentures and other securities held as stock-in-trade, with suitable modifications as specified in this Standard.

This Standard does not deal with:

- a. The basis for recognition of interest, dividends and rentals earned on investments which are covered by AS 9
- b. Operating or finance leases
- c. Investments on retirement benefit plans and life insurance enterprises
- d. Mutual funds, venture capital funds and/ or the related asset management companies, banks and public financial institutions formed under a Central or State Government Act or so declared under the Companies Act, 2013.

3.2 DEFINITION OF THE TERMS USED IN THE STANDARD

Investments are assets held by an enterprise for earning income by way of dividends, interest, and rentals, for capital appreciation, or for other benefits to the investing enterprise. Assets held as stock-in-trade (inventory) are not 'investments'

Fair value is the amount for which an asset could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction. Under appropriate circumstances, market value or net realisable value provides an evidence of fair value.

Market value is the amount obtainable from the sale of an investment in an open market, net of expenses necessarily to be incurred on or before disposal.

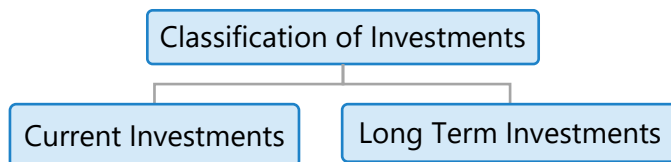
3.3 FORMS OF INVESTMENTS

Enterprises hold investments for diverse reasons. For some enterprises, investment activity is a significant element of operations, and assessment of the performance of the enterprise may largely, or solely, depend on the reported results of this activity.

Some investments have no physical existence and are represented merely by certificates or similar documents (e.g., shares) while others exist in a physical form (e.g., buildings). For some investments, an active market exists from which a market value (fair value) can be established. For other investments, an active market does not exist and other means are used to determine fair value.



3.4 CLASSIFICATION OF INVESTMENTS



A current investment is an investment that is by its nature readily realisable and is intended to be held for not more than one year from the date on which such investment is made. The intention to hold for not more than one year is to be judged at the time of purchase of investment.

A long term investment is an investment other than a current investment.

Further classification of current and long-term investments should be as specified in the statute governing the enterprise. In the absence of a statutory requirement, such further classification should disclose, where applicable, investments in:

- (a) Government or Trust securities
- (b) Shares, debentures or bonds
- (c) Investment properties
- (d) Others—specifying nature



3.5 COST OF INVESTMENTS

The cost of an investment includes acquisition charges such as brokerage, fees and duties etc.

Example

X Ltd invests in long-term deposit worth ₹ 200 lakhs on 1st April 2022. It incurs brokerage cost of ₹ 1 lakh to be able to make the investment. The value of the investment on 1st April 2022 is ₹ 201 lakhs.

If an investment is acquired, or partly acquired, by the issue of shares or other securities, the acquisition cost is the fair value of the securities issued. The fair value may not necessarily be equal to the nominal or par value of the securities issued.

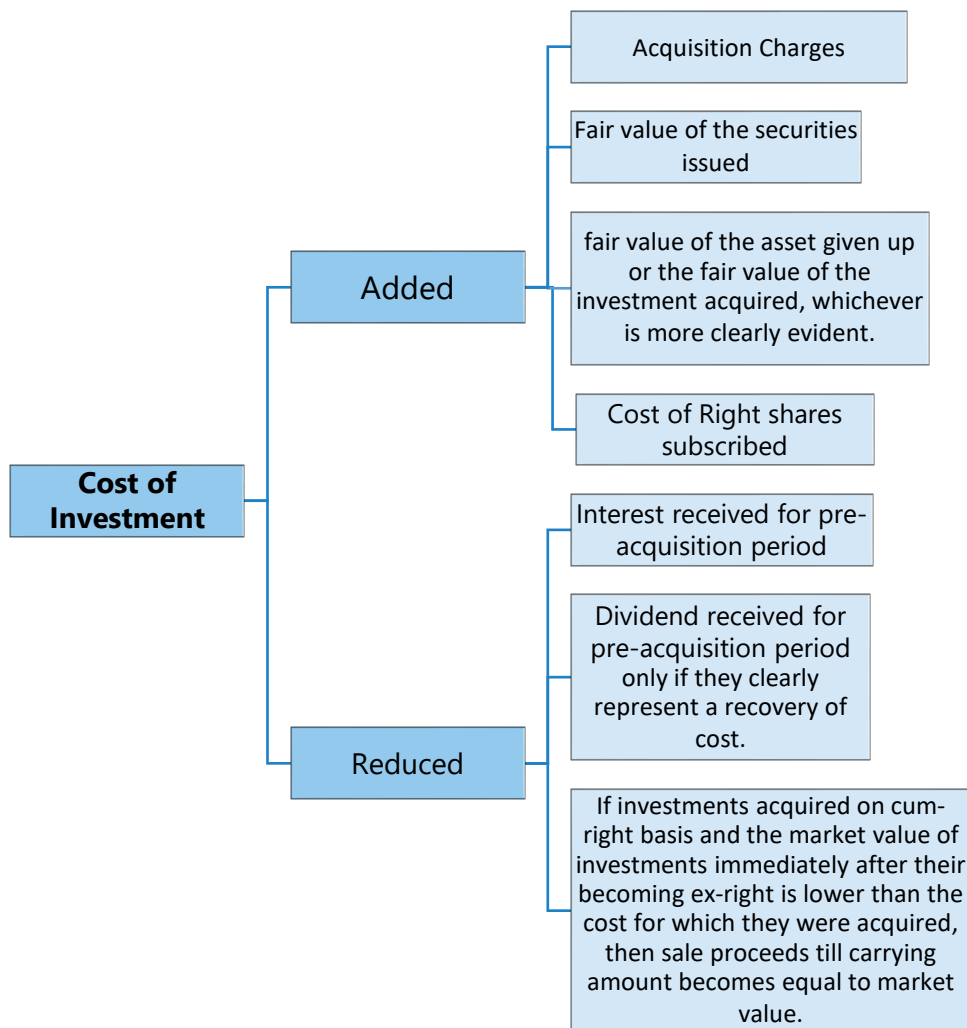
If an investment is acquired in exchange, or part exchange, for another asset, the acquisition cost of the investment is determined by reference to the fair value of the asset given up or the fair value of the investment acquired, whichever is more clearly evident.

Interest, dividends and rentals receivables in connection with an investment are generally regarded as income, being the return on the investment. However, in some circumstances, such inflows represent a recovery of cost and do not form part of income.

For example, when unpaid interest has accrued before the acquisition of an interest-bearing investment and is therefore included in the price paid for the investment, the subsequent receipt of interest is allocated between pre-acquisition and post-acquisition periods; the pre-acquisition portion is deducted from cost. When dividends on equity are declared from pre-acquisition profits, a similar treatment may apply. If it is difficult to make such an allocation except on an arbitrary basis, the cost of investment is normally reduced by dividends receivable only if they clearly represent a recovery of a part of the cost.

When right shares offered are subscribed for, the cost of the right shares is added to the carrying amount of the original holding. If rights are not subscribed for but are sold in the market, the sale proceeds are taken to the profit and loss statement.

However, where the investments are acquired on cum-right basis and the market value of investments immediately after their becoming ex-right is lower than the cost for which they were acquired, it may be appropriate to apply the sale proceeds of rights to reduce the carrying amount of such investments to the market value.



3.6 CARRYING AMOUNT OF INVESTMENTS

The carrying amount for current investments is the lower of cost and fair value.

Valuation of current investments on overall (or global) basis is not considered appropriate. Sometimes, the concern of an enterprise may be with the value of a category of related current investments and not with each individual investment, and accordingly the investments may be carried at the lower of cost and fair value computed category-wise (i.e. equity shares, preference shares, convertible debentures, etc.). However, the more prudent and appropriate method is to carry investments individually at the lower of cost and fair value.

Any reduction to fair value is debited to profit and loss account, however, if fair value of investment is increased subsequently, the increase in value of current investment up to the cost of investment is credited to the profit and loss account (and excess portion, if any, is ignored).

Long term investments are usually carried at cost. The carrying amount of long-term investments is therefore determined on an individual investment basis. Where there is a decline, other than temporary, in the carrying amounts of long term valued investments, the resultant reduction in the carrying amount is charged to the profit and loss statement. The reduction in carrying amount is reversed when there is a rise in the value of the investment, or if the reasons for the reduction no longer exist. Example of Decline other than temporary:

- (A) Company in which investment is made is making cash operating losses which has resulted in reduction of its net worth,
- (B) New regulation which has negative impact in the working of the investee,
- (C) Significant reduction of quoted price of the investment, etc.

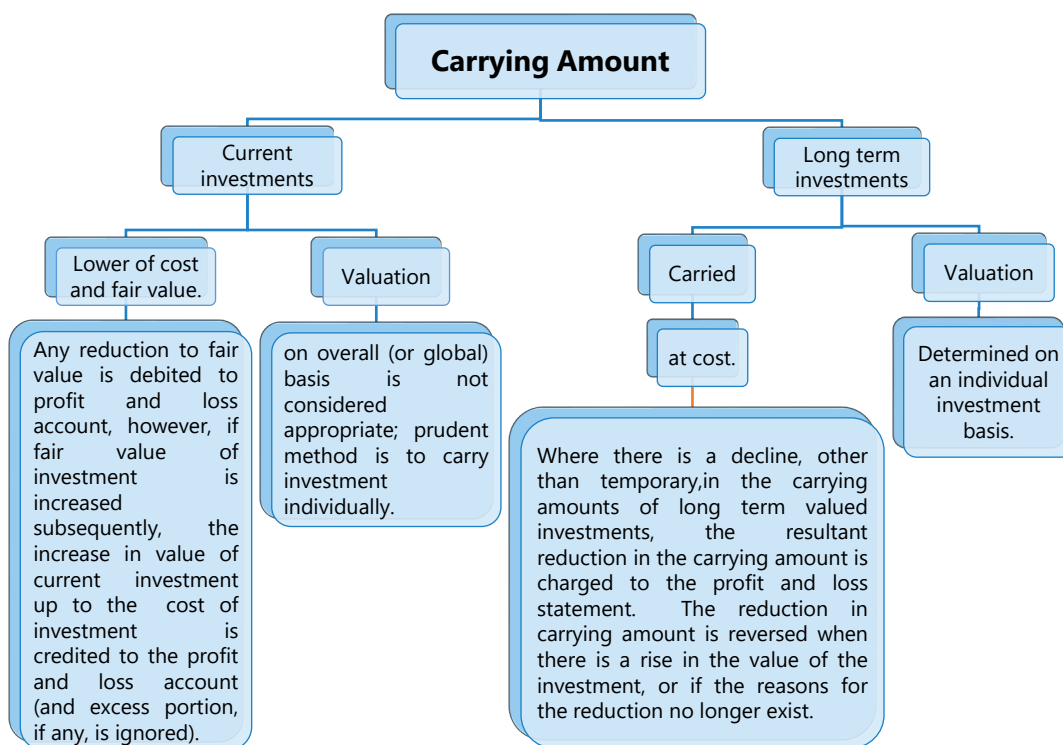


Illustration 1

An unquoted long term investment is carried in the books at a cost of ₹2 lakhs. The published accounts of the unlisted company received in May, 20X1 showed that the company was incurring cash losses with declining market share and the long term investment may not fetch more than ₹ 20,000. How will you deal with this in preparing the financial statements of R Ltd. for the year ended 31st March, 20X1?

Solution

As stated in the question that financial statements for the year ended 31st March, 20X1 are still under preparation – The answer has been given on the assumption that the financial statements are yet to be completed and approved by the Board of Directors.

Also, the fall in value of investments has been considered on account of conditions existing on the balance sheet date.

Investments classified as long term investments should be carried in the financial statements at cost. However, provision for diminution should be made to recognise a decline, other than temporary, in the value of the investments, such reduction being determined and made for each investment individually. AS 13 (Revised) 'Accounting for Investments' states that indicators of the value of an investment are obtained by reference to its market value, the investee's assets and results and the expected cash flows from the investment. On the above basis, the facts of the given case clearly suggest that the provision for diminution should be made to reduce the carrying amount of long term investment to ₹ 20,000 in the financial statements for the year ended 31st March, 20X1.

Illustration 2

X Ltd. on 1-1-20X1 had made an investment of ₹ 600 lakhs in the equity shares of Y Ltd. of which 50% is made in the long term category and the rest as temporary investment. The realisable value of all such investment on 31-3-20X1 became ₹ 200 lakhs as Y Ltd. lost a case of copyright. From the given market conditions, it is apparent that the reduction in the value is not temporary in nature. How will you recognise the reduction in financial statements for the year ended on 31-3-20X1?

Solution

X Ltd. invested ₹ 600 lakhs in the equity shares of Y Ltd. Out of the same, the company intends to hold 50% shares for long term period i.e. ₹ 300 lakhs and remaining as temporary (current) investment i.e. ₹ 300 lakhs. Irrespective of the fact that investment has been held by X Ltd. only for 3 months (from 1.1.20X1 to 31.3.20X1), AS 13 (Revised) lays emphasis on intention of the investor to classify the investment as current or long term even though the long term investment may be readily marketable.

In the given situation, the realisable value of all such investments on 31.3.20X1 became ₹ 200 lakhs i.e. ₹ 100 lakhs in respect of current investment and ₹ 100 lakhs in respect of long term investment.

As per AS 13 (Revised), 'Accounting for Investment', the carrying amount for current investments is the lower of cost and fair value. In respect of current investments for which an active market exists, market value generally provides the best evidence of fair value.

Accordingly, the carrying value of investment held as temporary investment should be shown at realisable value i.e. at ₹ 100 lakhs. The reduction of ₹ 200 lakhs in the carrying value of current investment will be charged to the profit and loss account.

The Standard further states that long-term investments are usually carried at cost. However, when there is a decline, other than temporary, in the value of long term investment, the carrying amount is reduced to recognise the decline.

Here, Y Ltd. lost a case of copyright which drastically reduced the realisable value of its shares to one third which is quite a substantial figure. Losing the case of copyright may affect the business and the performance of the company in the long run. Accordingly, it will be appropriate to reduce the carrying amount of long term investment by ₹ 200 lakhs and show the investments at ₹ 100 lakhs, since the downfall in the value of shares is other than temporary. The reduction of ₹ 200 lakhs in the carrying value of long term investment will also be charged to the Statement of profit and loss.



3.7 INVESTMENT PROPERTIES

An investment property is an investment in land or buildings that are not intended to be occupied substantially for use by, or in the operations of, the investing enterprise.

An investment property is accounted for in accordance with cost model as prescribed in AS 10 (Revised), 'Property, Plant and Equipment'. The cost of any shares in a co-operative society or a company, the holding of which is directly related to the right to hold the investment property, is added to the carrying amount of the investment property.



3.8 DISPOSAL OF INVESTMENTS

On disposal of an investment, the difference between the carrying amount and the disposal proceeds, net of expenses, is recognised in the profit and loss statement.

When disposing of a part of the holding of an individual investment, the carrying amount to be allocated to that part is to be determined on the basis of the average carrying amount of the total holding of the investment¹.



3.9 RECLASSIFICATION OF INVESTMENTS

Where long-term investments are reclassified as current investments, transfers are made at the lower of cost and carrying amount at the date of transfer.

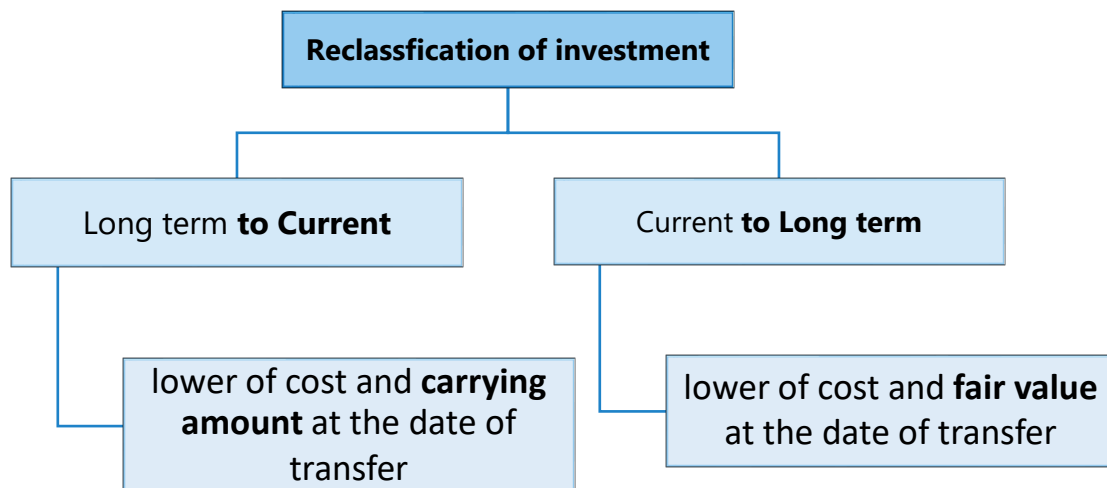
Where investments are reclassified from current to long-term, transfers are made at the lower of cost and fair value at the date of transfer.

Illustration 3

ABC Ltd. wants to re-classify its investments in accordance with AS 13 (Revised). Decide and state on the amount of transfer, based on the following information:

¹ In respect of shares, debentures and other securities held as stock-in-trade, the cost of stocks disposed of is determined by applying an appropriate cost formula (e.g. first-in, first-out, average cost, etc.). These cost formulae are the same as those specified in AS 2 (Revised), in respect of Valuation of Inventories.

- (1) A portion of current investments purchased for ₹ 20 lakhs, to be reclassified as long term investment, as the company has decided to retain them. The market value as on the date of Balance Sheet was ₹ 25 lakhs.
- (2) Another portion of current investments purchased for ₹ 15 lakhs, to be reclassified as long term investments. The market value of these investments as on the date of balance sheet was ₹ 6.5 lakhs.
- (3) Certain long term investments no longer considered for holding purposes, to be reclassified as current investments. The original cost of these was ₹ 18 lakhs but had been written down to ₹ 12 lakhs to recognise other than temporary decline as per AS 13 (Revised).



Solution

As per AS 13 (Revised), where investments are reclassified from current to long-term, transfers are made at the lower of cost and fair value at the date of transfer.

- (1) In the first case, the market value of the investment is ₹ 25 lakhs, which is higher than its cost i.e. ₹ 20 lakhs. Therefore, the transfer to long term investments should be carried at cost i.e. ₹ 20 lakhs.
- (2) In the second case, the market value of the investment is ₹ 6.5 lakhs, which is lower than its cost i.e. ₹ 15 lakhs. Therefore, the transfer to long term investments should be carried in the books at the market value i.e. ₹ 6.5 lakhs. The loss of ₹ 8.5 lakhs should be charged to profit and loss account.

As per AS 13 (Revised), where long-term investments are re-classified as current investments, transfers are made at the lower of cost and carrying amount at the date of transfer.

- (3) In the third case, the book value of the investment is ₹ 12 lakhs, which is lower than its cost i.e. ₹ 18 lakhs. Here, the transfer should be at carrying amount and hence this re-classified current investment should be carried at ₹ 12 lakhs.

3.10 DISCLOSURE

The following disclosures in financial statements in relation to investments are appropriate: -

- a. The accounting policies followed for the determination of carrying amount of investments.
- b. The amounts included in profit and loss statement for:
 - i. Interest, dividends (showing separately dividends from subsidiary companies), and rentals on investments showing separately such income from long term and current investments. Gross income should be stated, the amount of income tax deducted at source being included under Advance Taxes Paid.
 - ii. Profits and losses on disposal of current investments and changes in carrying amount of such investments.
 - iii. Profits and losses on disposal of long term investments and changes in the carrying amount of such investments.
- c. Significant restrictions on the right of ownership, realisability of investments or the remittance of income and proceeds of disposal.
- d. The aggregate amount of quoted and unquoted investments, giving the aggregate market value of quoted investments.
- e. Other disclosures as specifically required by the relevant statute governing the enterprise.
- f. Classification of investments.

Illustration 4

M/s Innovative Garments Manufacturing Company Limited invested in the shares of another company on 1st October, 20X3 at a cost of ₹ 2,50,000. It also earlier purchased Gold of ₹ 4,00,000 and Silver of ₹ 2,00,000 on 1st March, 20X1. Market value as on 31st March, 20X4 of above investments are as follows:

	₹
Shares	2,25,000
Gold	6,00,000
Silver	3,50,000

How above investments will be shown in the books of accounts of M/s Innovative Garments Manufacturing Company Limited for the year ending 31st March, 20X4 as per the provisions of Accounting Standard 13 "Accounting for Investments"?

Solution

As per AS 13 (Revised) 'Accounting for Investments', for investment in shares if the investment is purchased with an intention to hold for short-term period (less than one year), then it will be classified as current investment and to be carried at lower of cost and fair value, i.e., in case of shares, at lower of cost (₹ 2,50,000) and market value (₹ 2,25,000) as on 31 March 20X4, i.e., ₹ 2,25,000.

If equity shares are acquired with an intention to hold for long term period (more than one year), then should be considered as long-term investment to be shown at cost in the Balance Sheet of the company. However, provision for diminution should be made to recognise a decline, if other than temporary, in the value of the investments.

Gold and silver are generally purchased with an intention to hold it for long term period (more than one year) until and unless given otherwise. Hence, the investment in Gold and Silver (purchased on 1st March, 20X1) should continue to be shown at cost (since there is no 'other than temporary' diminution) as on 31st March, 20X4, i.e., ₹ 4,00,000 and ₹ 2,00,000 respectively, though their market values have been increased.

Illustration 5

In 20X1, M/s. Wye Ltd. issued 12% fully paid debentures of ₹ 100 each, interest being payable half yearly on 30th September and 31st March of every accounting year.

On 1st December, 20X2, M/s. Bull & Bear purchased 10,000 of these debentures at ₹ 101 ex-interest price, also paying brokerage @ 1% of ex-interest amount of the purchase. On 1st March, 20X3 the firm sold all these debentures at ₹ 103 ex-interest price, again paying brokerage @ 1% of ex-interest amount. Prepare Investment Account in the books of M/s. Bull & Bear for the period 1st December, 20X2 to 1st March, 20X3.

Solution

In the books of M/s Bull & Bear
Investment Account
for the period from 1st December 20X2 to 1st March, 20X3
(Scrip: 12% Debentures of M/s. Wye Ltd.)

Date	Particulars	Nominal Value (₹)	Interest	Cost (₹)	Date	Particulars	Nominal Value (₹)	Interest	Cost (₹)
1.12.20X2	To Bank A/c (W.N.1)	10,00,000	20,000	10,20,100	1.03.20X3	By Bank A/c (W.N.2)	10,00,000	50,000	10,19,700
1.3.20X3	To Profit & loss A/c* (b.f.)	-	30,000		1.3.20X3	By Profit & loss A/c (b.f.)			400
		10,00,000	50,000	10,20,100			10,00,000	50,000	10,20,100

* This represents income for M/s. Bull & Bear for the period 1st December, 20X2 to 1st March, 20X3, i.e., interest for three months- 1st December, 20X2 to 28 February, 20X3).

Working Notes:

1.	Cost of 12% debentures purchased on 1.12.20X2	₹
	Cost Value (10,000 × ₹ 101)	= 10,10,000
	Add: Brokerage (1% of ₹ 10,10,000)	= <u>10,100</u>
	Total	= <u>10,20,100</u>
2.	Sale proceeds of 12% debentures sold	₹
	Sales Price (10,000 × ₹ 103)	= 10,30,000
	Less: Brokerage (1% of ₹ 10,30,000)	= <u>(10,300)</u>
	Total	= <u>10,19,700</u>

Illustration 6

On 1.4.20X1, Mr. Krishna Murty purchased 1,000 equity shares of ₹ 100 each in TELCO Ltd. @ ₹ 120 each from a Broker, who charged 2% brokerage. He incurred 50 paise per ₹ 100 as cost of shares transfer stamps. On 31.1.20X2, Bonus was declared in the ratio of 1: 2. Before and after the record date of bonus shares, the shares were quoted at ₹ 175 per share and ₹ 90 per share respectively. On 31.3.20X2, Mr. Krishna Murty sold bonus shares to a Broker, who charged 2% brokerage.

Show the Investment Account in the books of Mr. Krishna Murty, who held the shares as Current assets and closing value of investments shall be made at Cost or Market value whichever is lower.

Solution

In the books of Mr. Krishna Murty
Investment Account for the year ended 31st March, 20X2
(Scrip: Equity Shares of TELCO Ltd.)

Date	Particulars	Nominal Value (₹)	Cost (₹)	Date	Particulars	Nominal Value (₹)	Cost (₹)
1.4.20X1	To Bank A/c (W.N.1)	1,00,000	1,23,000	31.3.20X2	By Bank A/c (W.N.2)	50,000	44,100

31.1.20X2	To Bonus shares (W.N.5)	50,000	–	31.3.20X2	By Balance c/d (W.N.4)	1,00,000	82,000
31.3.20X2	To Profit & loss A/c (W.N.3)	–	3,100				
		1,50,000	1,26,100			1,50,000	1,26,100

Working Notes:

- Cost of equity shares purchased on 1.4.20X1 = $(1,000 \times ₹ 120) + (2\% \text{ of } ₹ 1,20,000) + (1/2\% \text{ of } ₹ 1,20,000) = ₹ 1,23,000$
- Sale proceeds of equity shares (bonus) sold on 31st March, 20X2 = $(500 \times ₹ 90) - (2\% \text{ of } ₹ 45,000) = ₹ 44,100$.
- Profit on sale of bonus shares on 31st March, 20X2

$$= \text{Sale proceeds} - \text{Average cost}$$

Sale proceeds = ₹ 44,100

Average cost = $₹ (1,23,000 / 1,50,000) \times 50,000 = ₹ 41,000$

Profit = $₹ 44,100 - ₹ 41,000 = ₹ 3,100$.
- Valuation of equity shares on 31st March, 20X2

Cost = $(₹ 1,23,000 / 1,50,000) \times 1,00,000 = ₹ 82,000$

Market Value = $1,000 \text{ shares} \times ₹ 90 = ₹ 90,000$

Closing balance has been valued at ₹ 82,000 being lower than the market value.
- Bonus shares do not have any cost.

Illustration 7

Mr. X purchased 500 equity shares of ₹ 100 each in Omega Co. Ltd. for ₹ 62,500 inclusive of brokerage and stamp duty. Some years later the company resolved to capitalise its profits and to issue to the holders of equity shares, one equity bonus share for every share held by them. Prior to capitalisation, the shares of Omega Co. Ltd. were quoted at ₹ 175 per share. After the capitalisation, the shares were quoted at ₹ 92.50 per share. Mr. X. sold the bonus shares and received at ₹ 90 per share.

Prepare the Investment Account in X's books on average cost basis.

Solution

In the books of X
Investment Account
[Scrip: Equity shares in Omega Co. Ltd.]

Particulars	Nominal Value ₹	Cost ₹	Particulars	Nominal Value ₹	Cost ₹
To Cash	50,000	62,500	By Cash - Sale (500 x 90)	50,000	45,000
To Bonus shares (W.N.1)	50,000	-	By Balance c/d (W.N. 3)	50,000	31,250
To P & L A/c (W.N. 2)	-	13,750			
	1,00,000	76,250		1,00,000	76,250
To Balance b/d	50,000	31,250			

Working Notes:

- Bonus shares do not have any cost.
- Profit on sale of bonus shares = Sales proceeds – Average cost
 Sales proceeds = ₹ 45,000
 Average cost = $\frac{500}{1,000} \times 62,500 = ₹ 31,250$
 Profit = ₹ 45,000 – ₹ 31,250 = ₹ 13,750.
- Valuation of Closing Balance of Shares at the end of year
 The total cost of 1,000 share including bonus is ₹ 62,500
 Therefore, cost of 500 shares (carried forward) is $\frac{500}{1,000} \times 62,500 = ₹ 31,250$
 Market price of 500 shares = 92.50 x 500 = ₹ 46,250
 Cost being lower than the market price, therefore shares are carried forward at cost.

Illustration 8

On 1st April, 20X1, Rajat has 50,000 equity shares of P Ltd. at a book value of ₹ 15 per share (nominal value ₹ 10 each). He provides you the further information:

- (1) On 20th June, 20X1 he purchased another 10,000 shares of P Ltd. at ₹ 16 per share.
- (2) On 1st August, 20X1, P Ltd. issued one equity bonus share for every six shares held by the shareholders.
- (3) On 31st October, 20X1, the directors of P Ltd. announced a right issue which entitles the holders to subscribe three shares for every seven shares at ₹ 15 per share. Shareholders can transfer their rights in full or in part.

Rajat sold 1/3rd of entitlement to Umang for a consideration of ₹ 2 per share and subscribed the rest on 5th November, 20X1.

You are required to prepare Investment A/c in the books of Rajat for the year ending 31st March, 20X2.

Solution

In the books of Rajat
Investment Account
(Equity shares in P Ltd.)

Date	Particulars	No. of shares	Amount (₹)	Date	Particulars	No. of shares	Amount (₹)
1.4.X1	To Balance b/d	50,000	7,50,000	31.3.X2	By Balance c/d	90,000	12,10,000
20.6.X1	To Bank A/c	10,000	1,60,000		(Bal. fig.)		
1.8.X1	To Bonus issue (W.N.1)	10,000	-				
5.11.X1	To Bank A/c (right shares) (W.N.4)	20,000	3,00,000				
		90,000	12,10,000			90,000	12,10,000

Working Notes:

- (1) Bonus shares = $\frac{50,000 + 10,000}{6} = 10,000$ shares
- (2) Right shares = $\frac{50,000 + 10,000 + 10,000}{7} \times 3 = 30,000$ shares
- (3) Sale of rights = $30,000 \text{ shares} \times \frac{1}{3} \times ₹ 2 = ₹ 20,000$ to be credited to statement of profit and loss
- (4) Rights subscribed = $30,000 \text{ shares} \times \frac{2}{3} \times ₹ 15 = ₹ 3,00,000$

Illustration 9

On 1.4.20X1, Sundar had 25,000 equity shares of 'X' Ltd. at a book value of ₹ 15 per share (Nominal value ₹ 10). On 20.6.20X1, he purchased another 5,000 shares of the company at ₹16 per share. The directors of 'X' Ltd. announced a bonus and rights issue. No dividend was payable on these issues. The terms of the issue are as follows:

Bonus basis 1:6 (Date 16.8.20X1).

Rights basis 3:7 (Date 31.8.20X1) Price ₹ 15 per share.

Due date for payment 30.9.20X1.

Shareholders were entitled to transfer their rights in full or in part. Accordingly, Sundar sold 33.33% of his entitlement to Sekhar for a consideration of ₹ 2 per share.

Dividends: Dividends for the year ended 31.3.20X1 at the rate of 20% were declared by X Ltd. and received by Sundar on 31.10.20X1. Dividends for shares acquired by him on 20.6.20X1 are to be adjusted against the cost of purchase.

On 15.11.20X1, Sundar sold 25,000 equity shares at a premium of ₹ 5 per share.

You are required to prepare in the books of Sundar.

- (1) Investment Account
- (2) Profit & Loss Account.

For your exercise, assume that the books are closed on 31.12.20X1 and shares are valued at average cost.

Solution

Books of Sundar
Investment Account
(Scrip: Equity Shares in X Ltd.)

		No.	Amount ₹			No.	Amount ₹
1.4.20X1	To Bal b/d	25,000	3,75,000	31.10.20X1	By Bank	—	10,000
20.6.20X1	To Bank	5,000	80,000		(dividend		
16.8.20X1	To Bonus (W.N.1)	5,000	—		on shares		
30.9.20X1	To Bank (Rights Shares) (W.N.3)	10,000	1,50,000		acquired on		
15.11.20X1	To Profit (on sale of shares)		44,444	15.11.20X1	By Bank (Sale of shares)	25,000	3,75,000
				31.12.20X1	By Bal. c/d (W.N.6)	20,000	2,64,444
		45,000	6,49,444			45,000	6,49,444

Profit and Loss Account (An extract)

To Balance c/d	1,04,444	By Profit transferred	44,444
		By Sale of rights (W.N.3)	10,000
		By Dividend (W.N.4)	<u>50,000</u>
	1,04,444		1,04,444

Working Notes:

$$(1) \quad \text{Bonus Shares} = \frac{(25,000 + 5,000)}{6} = 5,000 \text{ shares}$$

$$(2) \quad \text{Right Shares} = \frac{(25,000 + 5,000 + 5,000)}{7} \times 3 = 15,000 \text{ shares}$$

- (3) **Right shares renounced** = $15,000 \times 1/3 = 5,000$ shares

Sale of right shares = $5,000 \times 2 = ₹ 10,000$

Right shares subscribed = $15,000 - 5,000 = 10,000$ shares

Amount paid for subscription of right shares = $10,000 \times 15 = ₹ 1,50,000$

- (4) **Dividend received** = $25,000$ (shares as on 1st April 20X1) $\times 10 \times 20\% = ₹ 50,000$

Dividend on shares purchased on 20.6.20X1 = $5,000 \times 10 \times 20\% = ₹ 10,000$ is adjusted to Investment A/c

- (5) **Profit on sale of 25,000 shares**

= Sales proceeds – Average cost

Sales proceeds = ₹ 3,75,000

Average cost = $\frac{(3,75,000 + 80,000 + 1,50,000 - 10,000)}{45,000} \times 25,000 = ₹ 3,30,556$

Profit = ₹ 3,75,000 – ₹ 3,30,556 = ₹ 44,444.

- (6) **Cost of shares on 31.12.20X1**

$\frac{(3,75,000 + 80,000 + 1,50,000 - 10,000)}{45,000} \times 20,000 = ₹ 2,64,444$

Reference: The students are also advised to refer the full bare text of AS 13 (Revised) "Accounting for Investments".

TEST YOUR KNOWLEDGE

Multiple Choice Questions

1. *The cost of Right shares is*
 - (a) *added to the cost of investments.*
 - (b) *subtracted from the cost of investments.*
 - (c) *no treatment is required.*
 - (d) *added to cost of investments at market value.*

2. *Long term investments are carried at*
 - (a) *fair value.*
 - (b) *cost less 'other than temporary' decline.*
 - (c) *Cost and market value whichever is less.*
 - (d) *Cost and market value whichever is higher.*
3. *Current investments are carried at*
 - (a) *Fair value.*
 - (b) *cost.*
 - (c) *Cost and fair value, whichever is less.*
 - (d) *Cost and fair value, whichever is higher.*
4. *A Ltd. acquired 2,000 equity shares of Omega Ltd. on cum-right basis at ₹ 75 per share. Subsequently, omega Ltd. made a right issue of 1:1 at ₹ 60 per share, which was subscribed for by A. Total cost of investments at the year-end will be ₹*
 - (a) *2,70,000.*
 - (b) *1,50,000.*
 - (c) *1,20,000.*
 - (d) *1,70,000.*
5. *Cost of investment includes*
 - (a) *Purchase costs.*
 - (b) *Brokerage and Stamp duty paid.*
 - (c) *Both (a) and (b).*
 - (d) *none of the above.*
6. *Prosperity Finance Ltd. purchases listed debentures on 1 June 20X1, intending at that time to hold them for 18 months before selling. Accordingly, the debentures are initially classified as long-term investments under AS 13. On 31 March 20X2, due to an unexpected cash requirement, management decides that the debentures will no longer be held as long-term investments and formally*

reclassifies them as current investments, with the intention to sell them within the next two months.

How should the debentures be classified and measured as at 31 March 20X2 under AS 13?

- (a) They should continue to be classified as long-term investments because the original intention at the date of purchase was to hold them for more than one year, and subsequent intention is irrelevant.*
- (b) They should be classified as current investments and transferred from long-term investments at the lower of cost and carrying amount at the date of transfer, as required by AS 13 for reclassification from long-term to current investments.*
- (c) They should be classified as inventory because management now intends to sell them in the near term.*
- (d) They should be classified as cash equivalents because they are expected to be sold within two months.*

7. *Vantage Investments Ltd. holds a portfolio of current investments comprising two investments that are assessed investment-wise for valuation under AS 13:*

- Investment A: Cost ₹10,00,000; fair value ₹12,00,000*
- Investment B: Cost ₹8,00,000; fair value ₹5,50,000*

Management proposes to carry the current investment portfolio at ₹17,50,000, being the lower of the aggregate cost of ₹18,00,000 and aggregate fair value of ₹17,50,000, thereby netting the unrealised gain on Investment A against the decline in Investment B.

Is this treatment correct under AS 13?

- (a) Yes. Current investments may always be valued on an aggregate portfolio basis, and unrealised gains on one investment may be set off against losses on another investment.*
- (b) No. Since the investments are being assessed investment-wise, each current investment must be carried at the lower of cost and fair value individually. Therefore, Investment A should be carried at ₹10,00,000 and Investment B at ₹5,50,000, giving a total carrying amount of ₹15,50,000.*
- (c) No. Current investments must always be carried strictly at original cost, regardless of fair value.*

- (d) No. Current investments must always be carried strictly at fair value, regardless of cost.
8. Continental Holdings Ltd. holds a long-term investment in the equity shares of an unlisted company, carried at cost of ₹40,00,000. Due to sustained losses and a deteriorating business outlook at the investee, the value of this investment has declined, and management assesses this decline to be other than temporary (i.e., a permanent diminution), estimating the recoverable value at ₹28,00,000. What is the correct accounting treatment under AS 13?
- (a) No adjustment is required, since long-term investments are always carried at cost.
- (b) The decline should be adjusted directly against the Securities Premium account, bypassing the statement of profit and loss.
- (c) The investment must be written off in full to zero, since any permanent diminution requires complete derecognition.
- (d) The carrying amount should be reduced to recognise the decline, with each such reduction determined and made for each investment individually; the resultant reduced carrying amount of ₹28,00,000 replaces cost, and the reduction (₹12,00,000) is charged to the statement of profit and loss.

Theoretical Questions

9. Briefly explain disclosure requirements for Investments as per AS-13.
10. How will you classify the investments as per AS 13? Explain in Brief.
11. Whether the accounting treatment 'at cost' under the head 'Long Term Investments' without providing for any diminution in value is correct and in accordance with the provisions of AS 13. If not, what should have been the accounting treatment in such a situation? Explain in brief.

Scenario based Questions

- 12 Mr. X acquires 200 shares of a company on cum-right basis for ₹ 70,000. He subsequently receives an offer of right to acquire fresh shares in the company in the proportion of 1:1 at ₹ 107 each. He does not subscribe but sells all the rights for ₹ 12,000. The market value of the shares after their becoming ex-

rights has also gone down to ₹ 60,000. What should be the accounting treatment in this case?

13. On 1st April, 20X1, XY Ltd. has 15,000 equity shares of ABC Ltd. at a book value of ₹ 15 per share (nominal value ₹ 10 per share). On 1st June, 20X1, XY Ltd. acquired 5,000 equity shares of ABC Ltd. for ₹ 1,00,000. ABC Ltd. announced a bonus and right issue.

- (1) Bonus was declared, at the rate of one equity share for every five shares held, on 1st July 20X1.
- (2) Right shares are to be issued to the existing shareholders on 1st September 20X1. The company will issue one right share for every 6 shares at 20% premium. No dividend was payable on these shares.
- (3) Dividend for the year ended 31.3.20X1 were declared by ABC Ltd. @ 20%, which was received by XY Ltd. on 31st October 20X1.

XY Ltd.

- (i) Took up half the right issue.
- (ii) Sold the remaining rights for ₹ 8 per share.
- (iii) Sold half of its shareholdings on 1st January 20X2 at ₹ 16.50 per share. Brokerage being 1%.

You are required to prepare Investment account of XY Ltd. for the year ended 31st March 20X2 assuming the shares are being valued at average cost.

14. The following information is presented by Mr. Z (a stock broker), relating to his holding in 9% Central Government Bonds.

Opening balance (nominal value) ₹ 1,20,000, Cost ₹ 1,18,000 (Nominal value of each unit is ₹ 100).

1.3.20X1 Purchased 200 units, ex-interest at ₹ 98.

1.7.20X1 Sold 500 units, ex-interest out of original holding at ₹ 100.

1.10.20X1 Purchased 150 units at ₹ 98, cum interest.

1.11.20X1 Sold 300 units, ex-interest at ₹ 99 out of original holdings.

Interest dates are 30th September and 31st March. Mr. Z closes his books every 31st December. Show the investment account as it would appear in his books. Mr. Z follows FIFO method.

15. Mr. Purohit furnishes the following details relating to his holding in 8% Debentures (₹ 100 each) of P Ltd., held as Current assets:

1.4.20X1 Opening balance – Nominal value ₹ 1,20,000, Cost ₹ 1,18,000

1.7.20X1 100 Debentures purchased ex-interest at ₹ 98

1.10.20X1 Sold 200 Debentures ex-interest at ₹ 100

1.1.20X2 Purchased 50 Debentures at ₹ 98 ex-interest

1.2.20X2 Sold 200 Debentures ex-interest at ₹ 99

Due dates of interest are 30th September and 31st March.

Mr. Purohit closes his books on 31.3.20X2. Brokerage at 1% is to be paid for each transaction (at ex-interest price). Show Investment account as it would appear in his books. Assume FIFO method. Market value of 8% Debentures of P Limited on 31.3.20X2 is ₹ 99.

16. On 1st April, 20X1, Mr. Vijay had 30,000 Equity shares in X Ltd. at a book value of ₹ 4,50,000 (Face Value ₹ 10 per share). On 22nd June, 20X1, he purchased another 5000 shares of the same company for ₹ 80,000.

The Directors of X Ltd. announced a bonus of equity shares in the ratio of one share for seven shares held on 10th August, 20X1.

On 31st August, 20X1 the Company made a right issue in the ratio of three shares for every eight shares held, on payment of ₹ 15 per share. Due date for the payment was 30th September, 20X1, Mr. Vijay subscribed to 2/3rd of the right shares and sold the remaining of his entitlement to Viru for a consideration of ₹ 2 per share.

On 31st October, 20X1, Vijay received dividends from X Ltd. @ 20% for the year ended 31st March, 20X1. Dividend for the shares acquired by him on 22nd June, 20X1 to be adjusted against the cost of purchase.

On 15th November, 20X1 Vijay sold 20,000 Equity shares at a premium of ₹ 5 per share.

You are required to prepare Investment Account in the books of Mr. Vijay for the year ended 31st March, 20X2 assuming the shares are being valued at average cost.

17. *Blue-chip Equity Investments Ltd., wants to re-classify its investments in accordance with AS 13 (Revised). State the values, at which the investments have to be reclassified in the following cases:*
- (i) Long term investments in Company A, costing ₹ 8.5 lakhs are to be re-classified as current. The company had reduced the value of these investments to ₹ 6.5 lakhs to recognise 'other than temporary' decline in value. The fair value on date of transfer is ₹ 6.8 lakhs.*
 - (ii) Long term investments in Company B, costing ₹ 7 lakhs are to be re-classified as current. The fair value on date of transfer is ₹ 8 lakhs and book value is ₹ 7 lakhs.*
 - (iii) Current investment in Company C, costing ₹ 10 lakhs are to be re-classified as long term as the company wants to retain them. The market value on date of transfer is ₹ 12 lakhs.*
18. *Gowtham Limited invested in shares of another company (with the intention to hold the shares for short-term period) on 30th November, 2021 at a cost of ₹ 4,25,000. It also earlier purchased Gold of ₹ 8,00,000 and Silver of ₹ 3,50,000 on 31st March, 20X1.*

Market values as on 31st March, 20X4, of the above investments are as follows:

<i>Shares</i>	<i>₹ 3,50,000</i>
<i>Gold</i>	<i>₹ 10,25,000</i>
<i>Silver</i>	<i>₹ 5,10,000</i>

You are required to explain how will the above investments be shown (individually and in total) in the books of account of Gowtham Limited for the year ending 31st March, 20X4 as per the provisions of AS 13.

19. (i) *An unquoted long term investment made in the shares of Rachel Limited is carried in the books of Ziva Limited at a cost of ₹ 1,00,000. The audited financial statements of Rachel Limited received in May, 20X1 showed that the company had been incurring cash losses with declining market share and the long term investment may not fetch more than ₹ 55,000.*

- (ii) On 1st December, 20X1 Ziva Limited had made an investment of ₹ 5,00,000 in 4000 Equity Shares of Garry Limited at a price of ₹ 125 per share with an intention to hold it for not more than six months. In the first week of March, 20X2, Garry Limited suffered heavy loss due to an earthquake; the loss was not covered by an insurance policy. On 31st March, 20X2, the shares on the Stock Exchange.

How would you deal with the above investments in the books of Ziva Limited for the year ended 31st March, 20X2 as per the provisions of Accounting Standard 13 'Accounting for Investments'?

ANSWERS/SOLUTIONS

Answer to the Multiple Choice Questions

1.	(a)	2.	(b)	3.	(c)	4.	(a)	5.	(c)		
6.	(b)	7.	(b)	8.	(d)						

Answer to the Theoretical Questions

9. The disclosure requirements as per AS 13 (Revised) are as follows:
- Accounting policies followed for the determination of carrying amount of investments.
 - Classification of investment into current and long term.
 - The amount included in profit and loss statements for
 - Interest, dividends and rentals for long term and current investments, disclosing therein gross income and tax deducted at source thereon;
 - Profits and losses on disposal of current investment and changes in carrying amount of such investments;
 - Profits and losses and disposal of long term investments and changes in carrying amount of investments.
 - Aggregate amount of quoted and unquoted investments, giving the aggregate market value of quoted investments;

- (v) Any significant restrictions on investments like minimum holding period for sale/disposal, utilisation of sale proceeds or non-remittance of sale proceeds of investment held outside India.
 - (vi) Other disclosures required by the relevant statute governing the enterprises
- 10.** The investments are classified into two categories as per AS 13, viz., Current Investments and Long-term Investments.
- A current Investment is an investment that is by its nature readily realisable and is intended to be held for not more than one year from the date on which such investment is made. The carrying amount for current investments is the lower of cost and fair value. Any reduction to fair value and any reversals of such reductions are included in the statement of profit and loss.
- A long-term investment is an investment other than a current investment. Long term investments are usually carried at cost. However, when there is a decline, other than temporary, in the value of a long term investment, the carrying amount is reduced to recognise the decline. The reduction in carrying amount is charged to the statement of profit and loss.
- 11.** The accounting treatment 'at cost' under the head 'Long Term Investment' in the financial statements of the company without providing for any diminution in value is correct and is in accordance with the provisions of AS 13 provided that there is no decline, other than temporary, in the value of investment. If the decline in the value of investment is, other than temporary, compared to the time when the shares were purchased, provision is required to be made.

Answer to the Scenario based Questions

- 12.** As per AS 13, where the investments are acquired on cum-right basis and the market value of investments immediately after their becoming ex-right is lower than the cost for which they were acquired, it may be appropriate to apply the sale proceeds of rights to reduce the carrying amount of such investments to the market value. In this case, the amount of the ex-right market value of 200 shares bought by X immediately after the declaration of rights falls to ₹ 60,000. In this case, out of sale proceeds of ₹ 12,000, ₹ 10,000 may be applied to reduce the carrying amount to bring it to the market value and ₹ 2,000 would be credited to the profit and loss account.

13.

In the books of XY Ltd.
Investment in equity shares of ABC Ltd.
for the year ended 31st March, 20X2

Date	Particulars	No.	Dividend ₹	Amount ₹	Date	Particulars	No.	Dividend ₹	Amount ₹
20X1 April 1	To Balance b/d	15,000	-	2,25,000	20X1 Oct. 31	By Bank A/c (W.N. 5)	-	30,000	10,000
June 1	To Bank A/c	5,000	--	1,00,000	20X2 Jan. 1	By Bank A/c (W.N.4)	13,000	-	2,12,355
July 1	To Bonus Issue (W.N. 1)	4,000	-	-	March 31	By Balance c/d (W.N. 6)	13,000	-	1,69,500
Sept.1	To Bank A/c (W.N. 2)	2,000	-	24,000					
20X2 Jan 1	To P & L A/c (W.N. 4)	-	-	42,855					
"20X2 March 31	To P & L A/c	-	30,000	-					
		26,000	30,000	3,91,855			26,000	30,000	3,91,855

Working Notes:**1. Calculation of no. of bonus shares issued**

$$\text{Bonus Shares} = \frac{15,000 \text{ shares} + 5,000 \text{ shares}}{5} \times 1 = 4,000 \text{ shares}$$

2. Calculation of right shares subscribed

$$\text{Right Shares} = \frac{15,000 \text{ shares} + 5,000 \text{ shares} + 4,000 \text{ shares}}{6} = 4,000 \text{ shares}$$

$$\text{Shares subscribed by XY Ltd.} = \frac{4,000}{2} = 2,000 \text{ shares}$$

$$\begin{aligned} \text{Value of right shares subscribed} &= 2,000 \text{ shares @ ₹ 12 per share} \\ &= ₹ 24,000 \end{aligned}$$

3. Calculation of sale of right entitlement

$$2,000 \text{ shares} \times ₹ 8 \text{ per share} = ₹ 16,000$$

Amount received from sale of rights will be credited to statement of profit and loss.

4. **Calculation of profit on sale of shares**

Total holding	= 15,000 shares	original
	5,000 shares	purchased
	4,000 shares	bonus
	2,000 shares	right shares
	<u>26,000 shares</u>	

50% of the holdings were sold

i.e. 13,000 shares (26,000 x 1/2) were sold.

Cost of total holdings of 26,000 shares (on average basis)

$$= ₹ 2,25,000 + ₹ 1,00,000 + ₹ 24,000 - ₹ 10,000 = ₹ 3,39,000$$

Average cost of 13,000 shares would be

$$= \frac{3,39,000}{26,000} \times 13,000 = ₹ 1,69,500$$

	₹
Sale proceeds of 13,000 shares (13,000 x ₹16.50)	2,14,500
Less: 1% Brokerage	<u>(2,145)</u>
	2,12,355
Less: Cost of 13,000 shares	<u>(1,69,500)</u>
Profit on sale	<u>42,855</u>

5. **Dividend received on investment held as on 1st April, 20X1**

$$= 15,000 \text{ shares} \times ₹ 10 \times 20\%$$

$$= ₹ 30,000 \text{ will be transferred to Profit and Loss A/c}$$

Dividend received on shares purchased on 1st June, 20X1

$$= 5,000 \text{ shares} \times ₹ 10 \times 20\% = ₹ 10,000 \text{ will be adjusted to Investment A/c}$$

Note: It is presumed that no dividend is received on bonus shares as bonus shares are declared on 1st July, 20X1 and dividend pertains to the year ended 31.3.20X1.

6. **Calculation of closing value of shares (on average basis) as on 31st March, 20X2**

$$13,000 \times \frac{3,39,000}{26,000} = ₹ 1,69,500$$

14.

In the Books of Mr. Z

9% Central Government Bonds (Investment) Account

Particulars		Nominal Value	Interest	Principal	Particulars		Nominal Value	Interest	Principal
20X1		₹	₹	₹	20X1		₹	₹	₹
Jan. 1	To Balance b/d (W.N.1)	1,20,000	2,700	1,18,000	Mar. 31	By Bank A/c (W.N.3)	-	6,300	-
March 1	To Bank A/c (W.N.2)	20,000	750	19,600	July 1	By Bank A/c (W.N.4)	50,000	1,125	50,000
July 1	To P&L A/c (W.N.5)	-	-	833	Sept. 30	By Bank A/c (W.N.6)	-	4,050	-
Oct. 1	To Bank A/c (150 x 98)	15,000	-	14,700	Nov. 1	By Bank A/c (W.N.7)	30,000	225	29,700
Nov. 1	To P&L A/c (W.N.8)	-	-	200	Dec. 31	By Balance c/d (W.N. 9 & W.N.10)	75,000	1,688	73,633
Dec. 31	To P&L A/c (b.f.) (Transfer)		9,938						
		1,55,000	13,388	1,53,333			1,55,000	13,388	1,53,333

Working Note:

- Interest element in opening balance of bonds = $1,20,000 \times 9\% \times 3/12 = ₹ 2,700$
- Purchase of bonds on 1. 3.20X1**
Interest element in purchase of bonds = $200 \times 100 \times 9\% \times 5/12 = ₹ 750$
Investment element in purchase of bonds = $200 \times 98 = ₹ 19,600$
- Interest for half-year ended 31 March = $1,400 \times 100 \times 9\% \times 6/12 = ₹ 6,300$
- Sale of bonds on 1.7.20X1**
Interest element = $500 \times 100 \times 9\% \times 3/12 = ₹ 1,125$
Investment element = $500 \times 100 = ₹ 50,000$

5. **Profit on sale of bonds on 1.7.20X1**

Cost of bonds = $(1,18,000 / 1,200) \times 500 = ₹ 49,167$

Sale proceeds = ₹ 50,000

Profit element = ₹ 833

6. **Interest for half-year ended 30 September**

= $900 \times 100 \times 9\% \times 6/12 = ₹ 4,050$

7. **Sale of bonds on 1.11.20X1**

Interest element = $300 \times 100 \times 9\% \times 1/12 = ₹ 225$

Investment element = $300 \times 99 = ₹ 29,700$

8. **Profit on sale of bonds on 1.11.20X1**

Cost of bonds = $(1,18,000 / 1,200) \times 300 = ₹ 29,500$

Sale proceeds = ₹ 29,700

Profit element = ₹ 200

9. Closing value of investment

Calculation of closing balance:	Nominal value		₹
Bonds in hand remained in hand at 31 st December 20X1			
From original holding		$\frac{1,18,000}{1,20,000} \times 40,000$	39,333
(1,20,000 – 50,000 – 30,000) =	40,000		
Purchased on 1 st March	20,000		19,600
Purchased on 1 st October	15,000		14,700
	75,000		73,633

10. Interest element in closing balance of bonds

= $750 \times 100 \times 9\% \times 3/12$

= ₹ 1,688

15.

Investment A/c of Mr. Purohit
for the year ending on 31-3-20X2
(Scrip: 8% Debentures of P Limited)
(Interest Payable on 30th September and 31st March)

Date	Particulars	Nominal Value	Interest	Cost	Date	Particulars	Nominal Value	Interest	Cost
			₹	₹				₹	₹
1.4.20X1	To Balance b/d	1,20,000	-	1,18,000	30.9.20X1	By Bank (1,300 x 100 x 8% x 6/12)	-	5,200	-
1.7.20X1	To Bank (ex-Interest) (W.N.1)	10,000	200	9,898	1.10.20X1	By Bank (W.N.4)	20,000	-	19,800
1.10.20X1	To Profit & Loss A/c (W.N.4)			133	1.2.20X2	By Bank (ex-Interest) (W.N.5)	20,000	533	19,602
1.1.20X2	To Bank (ex-Interest) (W.N.2)	5,000	100	4,949	1.2.20X2	By Profit & Loss A/c (W.N.5)			64
31.3.20X2	To Profit & Loss A/c (Bal. fig.)	-	9,233		31.3.20X2	By Bank (950 x 100 x 8% x 6/12)	-	3,800	-
					31.3.20X2	By Balance c/d (W.N.3)	95,000	-	93,514
		1,35,000	9,533	1,32,980			1,35,000	9,533	1,32,980

Working Notes:1. **Purchase of debentures on 1.7.20X1**

Interest element = $100 \times 100 \times 8\% \times 3/12 = ₹ 200$

Investment element = $(100 \times 98) + [1\% (100 \times 98)] = ₹ 9,898$

2. **Purchase of debentures on 1.1.20X2**

Interest element = $50 \times 100 \times 8\% \times 3/12 = ₹ 100$

Investment element = $\{(50 \times 98) + [1\%(50 \times 98)]\} = ₹ 4,949$

3. **Valuation of closing balance as on 31.3.20X2:**

Market value of 950 Debentures at ₹ 99 = ₹ 94,050

Cost of

$$800 \text{ Debentures cost} = \left(\frac{1,18,000}{1,20,000} \times 80,000 \right) = 78,667$$

$$100 \text{ Debentures cost} = 9,898$$

$$50 \text{ Debentures cost} = \underline{4,949}$$

$$\underline{93,514}$$

Value at the end = ₹ 93,514, i.e., whichever is less

4. **Profit on sale of debentures as on 1.10.20X1**

	₹
Sales price of debentures (200 x ₹ 100)	20,000
Less: Brokerage @ 1%	<u>(200)</u>
	19,800
Less: Cost of Debentures $\left(\frac{1,18,000}{1,20,000} \times 20,000 \right) =$	(19,667)
Profit on sale	133

5. **Loss on sale of debentures as on 1.2.20X2**

	₹
Sales price of debentures (200 x ₹ 99)	19,800
Less: Brokerage @ 1%	(198)
	19,602
Less: Cost of Debentures $\left(\frac{1,18,000}{1,20,000} \times 20,000 \right) =$	(19,666)
	)
Loss on sale	64
Interest element in sale of investment = $200 \times 100 \times 8\% \times 4/12$	₹ 533

16. Investment Account in Books of Vijay
(Scrip: Equity Shares in X Ltd.)

		No.	Amount			No.	Amount
			₹				₹
1.4.20X1	To Bal b/d	30,000	4,50,000	31.10.20X1	By Bank	—	10,000
22.6.20X1	To Bank	5,000	80,000		(dividend		
10.8.20X1	To Bonus	5,000	—		on shares		
30.9.20X1	To Bank	10,000	1,50,000		acquired on		
	(Rights				22.6.20X1)		
	Shares)			15.11.20X1	By Bank	20,000	3,00,000
15.11.20X1	To P&L A/c		32,000		(Sale of		
	(Profit on				shares)		
	sale of			31.3.20X2	By Bal. c/d	30,000	4,02,000
	shares)						
		50,000	7,12,000			50,000	7,12,000

Working Notes:

- (1) **Bonus Shares** = $(30,000 + 5,000) / 7 = 5,000$ shares
- (2) **Right Shares** = $\frac{(30,000 + 5,000 + 5,000)}{8} \times 3 = 15,000$ shares
- (3) **Rights shares sold** = $15,000 \times 1/3 = 5,000$ shares
- (4) **Dividend received** = $30,000 \times 10 \times 20\% = ₹ 60,000$ will be taken to P&L statement
- (5) **Dividend on shares purchased on 22.6.20X1**
 = $5,000 \times 10 \times 20\%$
 = ₹ 10,000 is adjusted to Investment A/c
- (6) **Profit on sale of 20,000 shares**
 = Sales proceeds – Average cost
 Sales proceeds = ₹ 3,00,000

$$\text{Average cost} = \frac{(4,50,000 + 80,000 + 1,50,000 - 10,000)}{50,000} \times 20,000 = ₹ 2,68,000$$

$$\text{Profit} = ₹ 3,00,000 - ₹ 2,68,000 = ₹ 32,000.$$

(7) **Cost of shares on 31.3.20X2**

$$\frac{(4,50,000 + 80,000 + 1,50,000 - 10,000)}{50,000} \times 30,000 = ₹ 4,02,000$$

- (8) Sale of rights amounting ₹ 10,000 (₹ 2 x 5,000 shares) will not be shown in investment A/c but will directly be taken to P & L statement.

- 17.** As per AS 13 (Revised) 'Accounting for Investments', where long-term investments are reclassified as current investments, transfers are made at the lower of cost and carrying amount at the date of transfer. And where investments are reclassified from current to long term, transfers are made at lower of cost and fair value on the date of transfer.

Accordingly, the re-classification will be done on the following basis:

- (i) In this case, carrying amount of investment on the date of transfer is less than the cost; hence this re-classified current investment should be carried at ₹ 6.5 lakhs in the books.
 - (ii) The carrying / book value of the long term investment is same as cost i.e. ₹ 7 lakhs. Hence this long term investment will be reclassified as current investment at book value of ₹ 7 lakhs only.
 - (iii) In this case, reclassification of current investment into long-term investments will be made at ₹ 10 lakhs as cost is less than its market value of ₹ 12 lakhs.
- 18.** As per AS 13 (Revised) 'Accounting for Investments', for investment in shares - if the investment is purchased with an intention to hold for short-term period (less than one year), then it will be classified as current investment and to be carried at lower of cost and fair value, i.e., in case of shares, at lower of cost (₹ 4,25,000) and market value (₹ 3,50,000) as on 31 March 20X4, i.e., ₹ 3,50,000.

Gold and silver are generally purchased with an intention to hold it for long term period (more than one year) until and unless given otherwise. Hence, the investment in Gold and Silver (purchased on 31st March, 20X1) should

continue to be shown at cost (since there is no 'other than temporary' diminution) as on 31st March, 20X4, i.e., ₹ 8,00,000 and ₹3,50,000 respectively, though their market values have been increased.

Thus the shares, gold and silver will be shown at ₹ 3,50,000, ₹ 8,00,000 and ₹ 3,50,000 respectively and hence, total investment will be valued at ₹ 15,00,000 for the year ending on 31st March, 20X4 as per AS 13.

- 19. (i)** Investments classified as long -term investments should be carried in the financial statements at cost. However, provision for diminution should be made to recognize a decline, other than temporary, in the value of the investments, such reduction being determined and made for each investment individually.

On this basis, the facts of the given case, it would be appropriate to reduce the carrying value of Long-term investments to ₹ 55,000 in the financial statements for the year ended 31st March, 20X2. Thus the unquoted investment in the shares of Rachel Ltd. will be valued at ₹ 55,000

The provision for diminution amounting ₹ 45,000 should be made to reduce the carrying amount of the investments.

- (ii)** Equity Shares in Garry Ltd. will be considered as current investment as intended to hold for not more than six months. As per AS 13, "Accounting for Investments", carrying amount for current investments is the lower of cost and fair value. In respect of current Investments for which as active market exists, market value generally provides the best evidence of fair value.

Since on 31st March, 20X2, the shares of Garry Limited were trading at a price of ₹ 80 per share on the stock exchange, the equity shares of Garry Ltd. should be carried in the financial statements at realizable value i.e. at ₹ 3,20,000 (4,000 shares @ ₹ 80 per share).

The reduction of ₹ 1,80,000 in carrying value of current investment will be charged to the statement of profit and loss for the year ended 31st March, 20X2.